# Credit policy

Demo Industrial Components Ltd. | Training policy DEMO-CP-01 | Version 1.0 | Effective 19 October 2026

**Fictional training material. All financial figures, credit requests and contact details are invented. This is not a Tesla-issued document or a statement of Tesla's actual financial position.**

## 1. Purpose and required information

Use this fictional supplier policy to recommend unsecured trade credit for a new customer. All amounts in this policy are full US dollars (USD). The credit manager approves every final limit and any exception.

Before recommending credit, require the applicant legal name, years in business, requested limit and terms, finance contact, applicant declaration, balance sheet and income statement. Bank and trade references are not required for this exercise.

Financial statements must identify the applicant, period, currency and units. Use the latest full financial year; its balance-sheet date must be no more than 15 months before the application date. Unaudited statements are acceptable for this demo, but their status must be disclosed.

## 2. Assign the highest tier whose conditions all pass

| Test | Tier A | Tier B |
|---|---|---|
| Current ratio | At least 1.50 | At least 1.20 |
| Debt to net worth | No more than 1.00 | No more than 2.00 |
| Annual net income | Greater than zero | Zero or greater |
| Years in business | At least 5 | At least 2 |
| Standard payment terms | Net 30 days | Net 30 days |

All four financial/business tests must pass for a tier. If neither tier qualifies, recommend prepayment with no unsecured credit. Missing inputs mean the review is pending; they do not automatically mean a failed test.

## 3. Calculation definitions

**Current ratio** = current assets / current liabilities.
**Debt to net worth** = total liabilities / total shareholders' equity.
Net income means the full-year after-tax result. Use unrounded ratios to assign the tier. Display ratios to two decimal places. Zero denominators or non-positive equity require manual review.

# Credit policy continued

DEMO-CP-01 | Credit limits, terms and exceptions

## 4. Recommended limit

| Tier | Limit formula, in full USD |
|---|---|
| A | Lowest of requested limit, 2% of total shareholders' equity, and $2,000,000. |
| B | Lowest of requested limit, 1% of total shareholders' equity, and $1,000,000. |
| Neither A nor B | No unsecured credit; recommend prepayment. |

Convert statement values to full USD before calculating a dollar credit cap. For example, a statement value of 10 in USD millions means $10,000,000. Do not round a ratio to make a threshold pass. Round a recommended limit down to the nearest whole dollar.

## 5. Requested terms and manual review

Net 30 is the standard term for both tiers. A request for longer terms does not change the financial tier. Recommend the policy term and flag the difference for the manager. Do not grant the longer term automatically.

Refer for manual review when the applicant and statement entities differ; figures or units conflict; a required denominator is zero; equity is non-positive; statements are older than 15 months; or a policy exception is requested. State the evidence and the information or approval needed.

If required documents or financial inputs are missing or unreadable, show the completeness checklist and request list, then pause the recommendation. Do not supply an unsupported tier or limit.

## 6. Required review output

Show each policy test, input figures, source pages, formula, result and pass/fail status. State the recommended tier, limit and terms; identify every failed higher-tier test and every requested exception. Disclose that supplied financials are unaudited when applicable.

Prepare a confidential PDF for the credit manager. The agent recommends only: no account creation, credit approval, customer contact or system updates are authorised.

## Training scope

This policy belongs to the fictional supplier in this demonstration. It is not Tesla's credit policy and is not intended for live underwriting. Apply only to the accompanying fictional training application and statements.